

Focus on Failures

Like most chart patterns, cups fail because of the inability of the stock to rise by more than 5% before declining. [Figure 21.4](#) shows an example. The nicely shaped cup forms after an extended price rise from 33 to 45. The two cup rims are at about the same price level. The handle seems to form a small cup of its own (but no handle). Price moves up sharply in late September and breaks above the right cup rim before continuing higher, but only briefly. The stock tops at 47.88, moves horizontally for about 3 weeks, and then starts down. Two months later, the stock hits a low of 37.63. The rise after the breakout is slightly less than 5%. I classify as a failure a stock that does not continue moving higher by more than 5% in the direction of the breakout.